Navigating Friction in Strategic Corridors: Regulatory, Standards, and Technology-Transfer Constraints in EU–India Dual-Use Aerospace Supply Chains

Implications for Multinational Aerospace and Defence Primes

By Tarosh Venkata Maganti

EXECUTIVE HIGHLIGHTS

The strategic problem: the India–EU Security and Defence Partnership (SDP), signed in January 2026, creates a political mandate for aerospace-defence cooperation faster than the legal mechanisms required to implement it.
The central policy question: which gaps can be narrowed through procedural cooperation under existing mandates, and which require additional legal instruments or institutional arrangements that remain uncompleted, are still under negotiation, or have no agreed route to conclusion.
The principal argument: four regulatory corridors—industrial localisation, export-control classification, certification and quality assurance, and institutional access—remain substantively unreconciled, while selected Indian adoptions of international aerospace standards demonstrate formal convergence at the standards-adoption layer. This does not itself establish equivalent certification, production capability or regulator-to-regulator acceptance. The policy challenge is therefore to identify where existing technical alignment can support more predictable decisions without assuming that it removes the legal and institutional differences governing those decisions.

CENTRAL ARGUMENT

EU–India aerospace cooperation does not require uniform regulatory systems. It requires targeted mechanisms to manage differences in industrial localisation, export-control classification, certification, and institutional access, while building on selected areas of technical alignment.

INSTITUTIONAL FRICTION MATRIX

Corridor	Alignment	Working instrument
Industrial localisation policy	Low – parallel, non-recognising targets	None
Export-control classification	Moderate – item coverage overlaps; taxonomy differs	None; case-by-case mapping
Certification / quality assurance	Low – narrow, non-reciprocal	EASA–DGCA WA (one type, one site)[2]
Institutional access (EDA)	None	None
Technical standards (selected domains)	High for selected standards – adopted identically	BIS–ISO identical standards[10]

STRATEGIC AND INDUSTRIAL CONTEXT

The SDP was the first overarching defence framework India and the EU have concluded, spanning maritime security, cyber and hybrid threats, space, counterterrorism, and defence-industrial cooperation.[1] The parties launched negotiations on a Security of Information Agreement, followed by the implementing arrangement required for it to become applicable. These instruments are important enabling conditions for handling EU classified information, but neither had been concluded at the time the Partnership was signed.[1] At the first EU–India Security and Defence Dialogue in New Delhi on 6 March 2026, the parties discussed next steps on a Security of Information Agreement following the launch of negotiations at the EU–India Summit.[1] The clearest production-related regulator arrangement identified here concerns civil aviation. Under the EASA–DGCA Working Arrangement for Airbus Helicopters' AS350 B3 line in Vemagal, EASA's Production Organisation

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Approval and EU aviation standards govern the production work, while DGCA retains specified Indian oversight and licensing responsibilities.[2] The arrangement covers one civil rotorcraft type at a named facility and does not establish a precedent for defence components or classified technology.

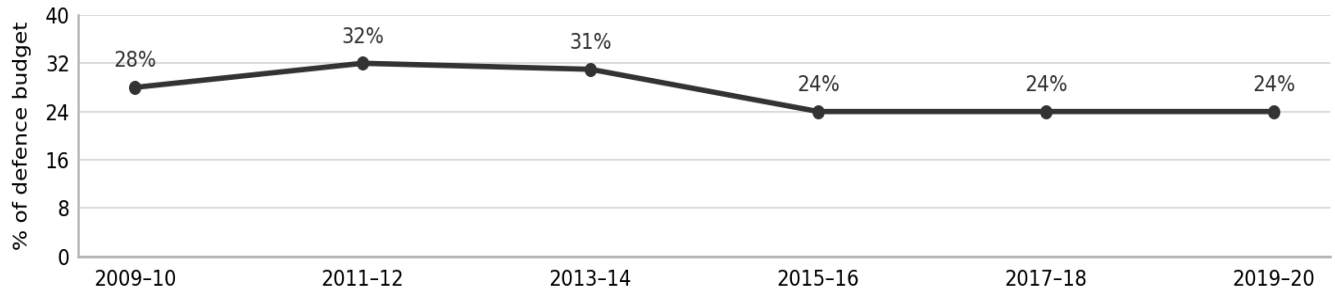
Whether this narrowness reflects a considered risk judgment or a negotiating starting point is not established in the available evidence. Any extension beyond the current arrangement would require the relevant authorities to address additional questions of regulatory mandate, oversight responsibility, and statutory authority that the current text does not resolve.

Institutional access shows a comparable gap. An Administrative Arrangement is a prerequisite for third parties to participate in EDA projects and programmes, subject to the arrangement's scope and Member States' case-by-case approval. Norway, Switzerland, Serbia, Ukraine, and the United States hold such arrangements; India does not. Even the U.S. arrangement, signed in April 2023, excludes capability development and research and technology from its initial scope, and its classified-information provisions rest on a prior EU–U.S. security agreement for which India has no equivalent.[3]

Industrial sovereignty objectives on each side were built independently of one another. The European Defence Industrial Strategy set 2030 targets for Member States to buy at least 40 percent of defence equipment through collaborative procurement and spend at least half of their defence procurement budgets on products made in Europe. The subsequently adopted European Defence Industry Programme (EDIP) conditions funding eligibility on EU establishment and executive management, at least 65 percent EU/associated-country component costs, and generally EU-based design authority; entities controlled by non-associated third countries may qualify only under specified guarantees.[5] India's Defence Acquisition Procedure runs a parallel indigenous-content ladder.[4]

Procurement category	Indigenous content	Character
Buy (Indian-IDDM)	50%	Indigenously designed and developed
Buy (Indian)	60%	Design origin not required
Buy & Make (Indian)	50% of "Make" portion	Requires technology transfer
Buy (Global – Manufacture in India)	50%	Manufactured share paid in rupees

Indigenous content is calculated as base contract price minus foreign content, as a share of the base price. The DAP's flat 90 percent estimate applies to the "Others" bucket: supplies from balance-tier vendors and components or equipment bought through traders, stockists or local agents of foreign suppliers.[4] A separate requirement also applies: at least 50 percent of the overall indigenous-content requirement stipulated for a procurement case must be met through materials, components or software manufactured in India. Where due justification exists, the AoN According Authority may grant a case-specific relaxation. This manufactured-in-India requirement is a distinct compliance test; rebutting the 90 percent estimate for "Others" does not, by itself, demonstrate that the requirement has been met.[4] The 90 percent estimate serves an anti-evasion function by limiting the scope for suppliers to claim indigenous value addition where lower-tier sourcing and production records cannot adequately substantiate the domestic contribution. Any alternative must preserve the estimate's anti-evasion function while allowing adequately documented domestic value addition to be recognised. India's own parliamentary oversight has been equally direct about the pace of indigenisation, with a Standing Committee review finding 23 of 55 reviewed DRDO projects behind schedule and DRDO identifying technological denial among its stated reasons for project closure.[12]



Capital outlay as a share of India's defence budget was 28% in 2009–10, peaked at 32% in 2010–11 and 2011–12, and stood at 24% in 2019–20 (Budget Estimate).[13] HAL platform import content stood at 40–60% of value (2018).[14] For comparison, capital outlay is budgeted at approximately 29% of defence expenditure in 2026–27 (Budget Estimate), amounting to ₹2.31 lakh crore.[20]

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REGULATORY AND TECHNICAL FRICTION

Export-control technical content converges closely across regimes; classification taxonomy does not. The EU's dual-use framework treats certain electronic transfers of controlled software and technology to destinations outside the Union, whether by email, cloud access, or shared server, as exports, making classification and authorisation relevant even where no physical item crosses a border.[6] The corresponding lists regulate closely related aerospace items and technologies—including gas-turbine engines, cooling-hole manufacture, and FADEC software or technology—but organise them under different category structures.

The European Commission adopted a further update to Annex I on 14 September 2026, including new controls for technology for the development of axial compressors of gas-turbine engines. As of 27 October 2026, the update remained subject to the scrutiny process preceding entry into force.[21]

Regime	Gas-turbine engines	FADEC software	Technology (selected blade, cooling-hole and FADEC technology)	Placement
Wassenaar	9.A.1.	9.D.3	9.E.3.a / 9.E.3.c / 9.E.3.h	Standalone aerospace category
EU Reg. 2021/821	9A001	9D003	9E003.a / 9E003.c / 9E003.h	Standalone aerospace category
India SCOMET	8A901	8D903	8E903.a / 8E903.c / 8E903.h	Embedded in broader Category 8

Sources: WA-LIST(25) 1 Corr.; EU Reg. 2021/821, Annex I; Updated SCOMET List 2025 (as on 23 Sept. 2025).[7][8]

Certification recognition remains limited on both sides, with each side's governing arrangements imposing distinct conditions on external acceptance. Under DGAQA's Approval of Firm and its Quality Management System (AFQMS) framework, AS9100 certification is itself a mandatory prerequisite for approval, and DGAQA already participates as an observer during that certification audit.[9] Government oversight remains a distinct layer above the certification baseline. DGAQA conducts its own surveillance, audits and spot checks, with the extent of intervention calibrated to store criticality, performance history and quality-management-system effectiveness. The policy question is whether this existing risk-based approach can support more consistent reliance on relevant external evidence without displacing DGAQA's own assessment.[9]

Where convergence has occurred is at the standards layer, not the certification layer. India's Bureau of Indian Standards holds a standing coordination mandate with the relevant ISO aerospace technical committees, and its adoptions, including IS 13153:2024 (harmonised with ISO 8279), IS/ISO 16426:2002, and IS/ISO 20816-4:2018, are declared identical to source, with only decimal-marker and terminology conventions as deviations.[10] IS/ISO 16426:2002 is a genuine fastener quality-assurance standard covering raw-material receipt through delivery; its published scope does not itself specify the digital heat-lot tracking mechanism this brief proposes below as policy. The proposed digital heat-lot tracking mechanism would introduce a verification requirement beyond the published scope of the standard.[10]

POLICY OPTIONS AND COMMERCIAL IMPLICATIONS

CERTIFICATION: TWO PATHS, ONE REALISTIC NEAR TERM

Option	Advantage	Limitation
General mutual-recognition framework	Potential to reduce duplicate audits; durable framework if agreed	No precedent at this scope; unresolved sovereignty and safety-oversight questions
Risk-based pilot: evidence reuse for non-safety-critical parts, DGAQA retains decision authority	Usable under existing mandates; preserves sovereign authority; targets a narrow segment where relevant standards alignment exists	Does not reach classified or flight-critical production; requires DGAQA to define qualifying evidence

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IMPLEMENTATION BOUNDARY: RISK-BASED SUPPLIER QUALIFICATION PILOT

Rationale: this pilot would operationalise DGAQA's existing risk-based intervention model through a documented protocol for deciding when existing certification, audit records and supplier-performance evidence can support a proportionate inspection decision. It builds on DGAQA's observer role in the firm's AS9100 certification audit but does not treat that role as equivalent to government approval.

Initial scope: non-safety-critical, build-to-print standard hardware only (for example, fasteners under IS 13153:2024), subject to DGAQA approval. Eligibility should be determined by the component's intended application, consequence of failure and applicable safety classification, rather than by component type or conformity with a standard alone. Even standard hardware should remain outside the pilot where its installation or failure consequence makes it safety-critical.

Evidence: valid AS9100 certification plus audit records, traceability documentation, and supplier performance history, used as supplementary evidence rather than a substitute for DGAQA's own determination.

Decision authority: retained by DGAQA throughout.

Exclusions: flight-critical, structural, fatigue-sensitive and rotating components remain outside the initial pilot and continue to be assessed under the applicable DGAQA requirements.

Safeguard: DGAQA retains spot-audit rights on any non-conformance at receipt inspection.

Expansion: considered only after the pilot demonstrates no deterioration in assurance outcomes.

Saab's enterprise risk disclosures identify exposure to offset-contract corruption, sanctioned jurisdictions, and the export-control regimes governing its international operations and supply chains.[11] While public filings do not document specific shipments or contracts altered by the EU–India regulatory gaps examined here, Saab's corporate footprint illustrates the commercial environment in which these rules operate.

Indicator	Figure
Investor AB stake in Saab (capital / votes)	30.2% / 39.7%
Saab India Technologies ownership	100%, wholly owned
HAL platform import content, by value	40–60%

Sources: Investor AB and Saab AB Annual Reports, 2025; Estimates Committee, Lok Sabha, 2018.[11] [14]

Together, these indicators provide ownership and industrial context for the brief's analysis of supplier qualification, technology transfer, and local manufacturing decisions.

PRIORITISED RECOMMENDATIONS

These proposals prioritise frictions that can be tested under existing authorisation and quality-assurance powers, or through a narrowly scoped procurement-rule amendment. They are not substitutes for an EU–India Security of Information Agreement, an EDA Administrative Arrangement or broader alignment on localisation. Each pilot should begin only after a defined review of anonymised recent cases demonstrates that the targeted burden is material and establishes a baseline against which results can be assessed.

The three proposals target licensing, assurance and indigenous-content verification.

1. Establish a controlled authorisation pathway for recurring intra-group technology transfers.

MECHANISM: EU Member State export-control authorities, participating exporters, and DGFT where India-origin onward transfers are involved

Problem. Differences between EU dual-use classifications and India's SCOMET taxonomy can create repeated interpretive work for transfers of controlled software and technology. A classification crosswalk can identify where terminology differs, but it cannot itself authorise a transfer or resolve differences in national security

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assessments. The resulting uncertainty is particularly consequential where engineering work requires recurring exchanges between a parent company and an established subsidiary.

Proposed intervention. The competent authorities would assess whether existing authorisation mechanisms can accommodate recurring, well-defined intra-group transfers, supported by a common evidentiary schedule covering corporate relationships, item classification, end use, access controls and record-keeping. The pathway should begin with a limited set of technically well-defined transfers that do not require access to classified information and for which the applicable export-control requirements can be assessed clearly. Participating exporters must demonstrate effective compliance systems. The pathway would separate transfers eligible for streamlined processing from those requiring individual assessment because of item sensitivity, end-user risk or onward-transfer concerns.[15] [16]

On the Indian side, GAICT must be treated as a separate, non-reciprocal authorisation route limited to eligible SCOMET Category 8 items and destinations under the applicable conditions, including the relevant exclusions under Appendix 10M. Other categories and destinations remain subject to their applicable authorisation requirements. The proposed pilot would operate through two coordinated but legally separate workflows: EU-origin transfers under the relevant Member State authorisation, and India-origin exports or re-exports under GAICT where eligible. It should not be presented as a bilateral licence or a common regulatory determination.[16] For GAICT, eligibility must be assessed against the specified intra-company relationships, the permitted destination-country list and the applicable exclusions and end-use conditions. A common evidence checklist should standardise applicant documentation only; it should not require confidential case files to be shared across jurisdictions or imply mutual reliance on the other authority's licensing decision.

Strategic rationale. The European framework provides for global export authorisations and treats an internal compliance programme as a relevant control mechanism; India's SCOMET regime also provides for Global Authorisation for Intra-Company Transfers under specified conditions. These existing mechanisms are a more credible starting point than a new bilateral safe harbour. Neither automatically overrides the other jurisdiction's requirements or guarantees approval. Standardising evidence for recurring transfers may reduce repeated assessment of the same corporate and compliance facts while leaving substantive control decisions with the competent authorities.

Implementation and safeguards. The pilot should proceed only where a review of anonymised transaction files demonstrates repeated administrative burden. For a small number of recurring programme corridors, participating exporters should seek to test exporter-specific authorisations covering defined technical-data or software categories, named recipients, approved programme uses and specified access environments.

Conditions should include a documented, risk-proportionate internal compliance programme that satisfies the requirements of the applicable authorisation route, with independent audit or certification where required by the governing rules or authorisation conditions, alongside role-based access, transfer logs, onward-transfer controls, end-use checks, and notification of material changes in ownership, personnel, destination or technical scope.

A published application template and shared evidence checklist could reduce avoidable entry costs for smaller suppliers. Participation should depend on demonstrated compliance, not company size or nationality. Review processing time, repeat information requests, first-submission completeness, exceptions outside authorised scope and material compliance incidents; licence-approval rates should not be a success target.

Outcome measure: time and document burden per repeat transfer, first-submission completeness, exceptions outside the authorised scope, and material compliance incidents.

2. Make reliance on existing quality-assurance evidence defensible without displacing DGAQA authority.

MECHANISM: Ministry of Defence / Department of Defence Production and DGAQA, with legal, finance and vigilance advisers

Problem. The brief identifies an asymmetry between technical-standards convergence and limited certification recognition. Where a supplier already holds relevant quality-management certification, additional government assessment may still be necessary for defence assurance; the unresolved question is whether each additional check supplies material assurance or repeats evidence already available. An instruction to accelerate approvals will have limited effect if an inspecting officer cannot explain why reliance on external evidence was reasonable in a particular case.[9] [17]

Proposed intervention. The Ministry of Defence and DGAQA should define a documented reliance protocol for a narrow class of non-safety-critical, build-to-print standard hardware. For each eligible component, the protocol would specify what current certification and accessible audit records establish, what risks they do not cover, and which residual checks remain necessary. Each reliance decision would record the evidence considered, the applicable risk category, any exception or red flag, and the additional checks performed.

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DGAQA would retain final decision authority, independent surveillance and the power to reject evidence that is incomplete, outdated or inconsistent with observed performance.

Strategic rationale. The protocol's purpose is to make risk-based reliance transparent, reviewable and defensible. The available evidence does not establish personal liability as the principal cause of repeated inspection, and the protocol cannot displace statutory, vigilance or audit responsibilities.

Implementation and safeguards. Implementation should begin only after a baseline review of DGAQA's existing records demonstrates that the targeted inspection burden is material. Before the pilot begins, DGAQA should specify the eligible component families and their intended applications, a comparable baseline sample assessed under the existing procedure, the independent recheck rate and definition of a high-severity defect, the review period and explicit suspension criteria, and the methodology for recording inspection hours, processing time and non-conformance outcomes. Pilot lots should be compared with comparable lots assessed under the existing procedure. Any high-severity defect plausibly missed because a check was omitted should trigger suspension and review. Expansion would be conditional on a demonstrable reduction in avoidable inspection effort without a material deterioration in assurance outcomes. The protocol should apply only to inspection or verification steps that DGAQA is authorised to vary under the applicable AFQMS requirements. Mandatory inspection or approval steps should remain in force unless separately amended by the competent authority.

Outcome measure: audit hours per accepted lot, processing time, severity and frequency of non-conformances, discrepancies identified only through independent rechecks, and reliance decisions returned for incomplete reasoning.

3. Allow verified tax and transaction records to rebut the 90 per cent foreign-content estimate.

MECHANISM: Ministry of Defence / Department of Defence Production and procurement authorities, with GSTN / CBIC input where lawful and supplier-authorised access

Problem. The Defence Acquisition Procedure 2020 applies a flat estimated foreign-content rate of 90 per cent to supplies from specified balance-tier suppliers and components or equipment bought through traders, stockists or local agents of foreign suppliers under the “Others” category. The provision protects against inflated indigenous-content claims where the prime vendor cannot obtain adequate lower-tier evidence. Where a domestic manufacturer can substantiate its production, the default may nevertheless fail to distinguish verifiable domestic value addition from an inadequately documented supply chain.[4]

Proposed intervention. The Ministry of Defence should establish a formally authorised evidentiary route for challenging the 90 per cent estimate, rather than relying on an informal exception to the applicable DAP. MoD (Acquisition), with MoD Finance and the competent approval authority, should determine whether the route should be incorporated into the final DAP 2026 and associated aerospace acquisition guidance or introduced through an approved amendment or clarification to the operative procedure. Until the necessary authority is in place, the existing presumption should continue to apply.[19]

Strategic rationale. This approach uses existing commercial and tax records to test a specific procurement claim rather than building new data architecture before the verification problem is understood. E-way bills record movement-related and transaction information, including invoice or challan details, declared goods value, HSN code and transport information. Those fields can help corroborate a supply chain, but do not independently establish the origin of every input or the value added by a manufacturing process.[18]

Implementation and safeguards. Under the proposed route, a prime vendor could submit a rebuttal for a specified lower-tier supplier, supported by verifiable records from that supplier. The prime vendor would retain accountability for the contract-level indigenous-content proforma, while the lower-tier supplier would provide the transaction, sourcing and production evidence needed to substantiate the claim. Evidence should combine tax invoices and relevant e-way-bill records with bills of materials, purchase records, production logs, subcontractor documentation and applicable bills of entry or import records. The verification should conduct two distinct tests: first, reconcile input quantities, imported content and claimed domestic manufacturing stages against the applicable overall indigenous-content calculation; second, verify separately that at least 50 percent of the stipulated overall indigenous-content requirement is represented by materials, components or software manufactured in India. The second test should be supported by supplier-level sourcing and production records identifying the qualifying items and their values. Any relaxation granted by the AoN According Authority should be documented and assessed against its stated scope. A successful challenge to the 90 percent estimate must not be treated as proof that this separate manufactured-in-India requirement has been satisfied. A designated verifier should perform the reconciliation, and the verification method should be proportionate to the component’s complexity and the supplier’s position in the supply chain. Access to tax information must have an appropriate legal basis, with clear limits on disclosure, retention and use. Where evidence is incomplete or contradictory, the existing presumption should continue to apply. Smaller suppliers should not be excluded because they lack sophisticated digital systems; proportionate documentation and a non-digital submission

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route may be needed. Revise the estimate only if the evidence shows that the alternative preserves its anti-evasion function. Verification should include risk-based sample audits of source records and reconciliation with the prime vendor's contract-level indigenous-content proforma. Material misstatement should trigger correction and any recovery, contractual remedy or suspension available under the applicable rules. The pilot should not create a new penalty or grant direct access to tax-system data without the necessary legal authority.

Outcome measure: variance between declared and audit-verified indigenous content, unresolved lower-tier spend, discrepancies detected, verification cost by supplier size, and material misstatements found.

LOOKING AHEAD

These interventions address three distinct sources of friction: repeated assessment of recurring technology transfers; uncertainty about how to rely on existing quality-assurance evidence; and the difficulty of verifying domestic value addition across fragmented supply chains. They do not resolve the larger legal questions surrounding classified information, institutional access or the limits of sovereign regulatory authority. Their value lies in testing whether existing mandates and records can support more predictable decisions without weakening the safeguards those systems are designed to maintain. Each pathway should proceed only where its legal basis is clear, its eligibility criteria are defined, and its performance can be assessed against measurable outcomes, with explicit grounds for suspension or revision.

ENDNOTES

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